



The significance of the UAE

May 6, 2026

- The significance of the UAE extends beyond its oil production share within OPEC. The UAE is second only to Saudi Arabia with regard to production flexibility, both for reducing output (discipline) and increasing it (spare capacity). Notably, the UAE also played a larger role in production cuts during the GFC than Qatar, another former "OPEC 'Core'" member, which exited in 2019. Therefore, with the UAE's absence from May, OPEC and the OPEC+ coalition will have a diminished ability to manage market surpluses and deficits.
- The economic and fiscal motivations for the UAE's decision appear obvious, quite apart from the well-known political issues. The UAE stands out among much of its OPEC brethren due to its lower fiscal breakeven oil price. In fact, amongst oil-exporting countries surveyed by the IMF, the UAE (USD 45/bbl) is matched in its low fiscal breakeven only by Qatar (USD 43/bbl) in 2026, while Iran (USD 165/bbl) is at the higher end of the spectrum.
- In light of the UAE's pledge to "continue to act responsibly, bringing additional production to market in a gradual and measured manner", we anticipate that the UAE will most likely increase its production towards sustainable capacity over a period of a year following the end of commercial shipping restrictions.

UAE exit preceded by policy dissents

The UAE exit from OPEC follows several dissents from group production decisions, notably in November 2020 and July 2021 when these disagreements became public knowledge, and its possible departure from OPEC was discussed in the media as a "trial balloon".¹ The exit also occurred despite some OPEC recognition and accommodation of the UAE's increased production capacity to 4.85 mmb/d, announced in May 2024.² In 2024, the UAE successfully lobbied for a higher production quota to be phased in over the course of 2025, resulting in the largest percentage increase among all OPEC-9 countries subject to a quota (Figure 1).

Authors

Michael Hsueh

Research Analyst

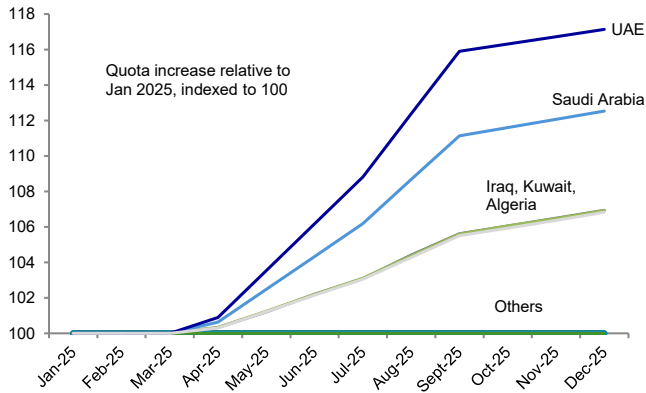
¹ UAE gets higher OPEC+ crude production quota", S&P Global, 4 Jun 2024, (<https://www.spglobal.com/energy/en/news-research/latest-news/crude-oil/060424-uae-gets-higher-opec-crude-production-quota>).

² UAE's ADNOC ups crude production capacity to 4.85 million b/d", S&P Global, 2 May 2024, (<https://www.spglobal.com/energy/en/news-research/latest-news/crude-oil/050224-uaes-adnoc-ups-crude-production-capacity-to-485-million-bd>).

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Figure 1: UAE saw the largest proportional quota increase in 2025 (Jan'25=100)

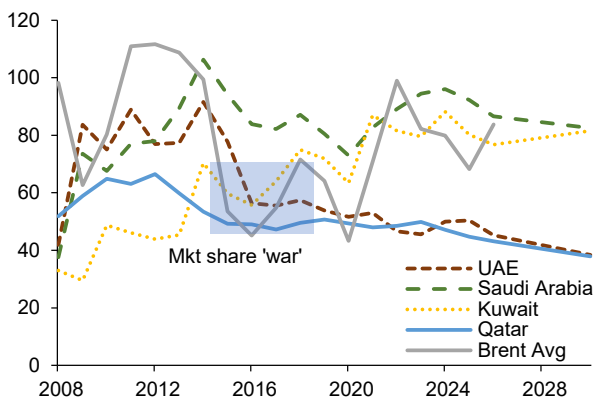


Source : OPEC, Deutsche Bank

UAE and Qatar share low fiscal breakeven oil prices

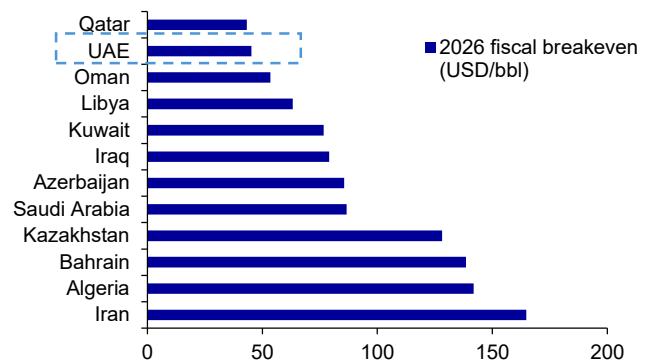
The economic and fiscal context for the UAE's decision appears obvious, quite apart from the well-known political issues.³ The UAE stands out among many of its OPEC counterparts by its lower fiscal breakeven oil price. Since the market share "war" starting from the end of 2014 through 2019, the UAE's fiscal breakeven has diverged from those of Kuwait and Saudi Arabia (Figure 2). In fact, amongst the oil-exporting countries surveyed by the IMF, the UAE (USD 45/bbl) is matched in its low fiscal breakeven only by Qatar (USD 43/bbl) in 2026, with Iran (USD 165/bbl) at the opposite end of the spectrum (Figure 3).

Figure 2: UAE diverged from Saudi Arabia and Kuwait in fiscal breakevens (USD/bbl)



Source : IMF, Deutsche Bank

Figure 3: UAE and Qatar (2019 exit from OPEC) have lowest fiscal breakevens (USD/bbl)



Source : IMF, Deutsche Bank

High contribution to supply discipline

The UAE's contribution to OPEC supply discipline extends beyond its share of oil production falling under the OPEC umbrella. Along with OPEC founding members

3 "The Saudi Arabia-UAE Dispute Is About More Than Just Yemen", Foreign Policy Magazine, 8 Jan 2026, <https://foreignpolicy.com/2026/01/08/saudi-arabia-uae-dispute-yemen-sudan/>.

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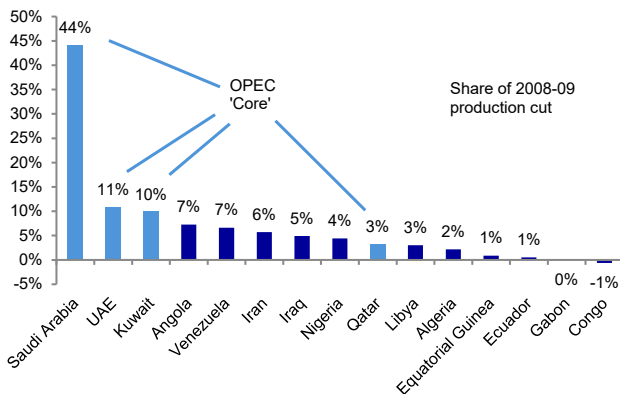


Saudi Arabia and Kuwait, the UAE (joined in 1967) and Qatar (joined 1961, exited 2019) were considered to be OPEC 'Core' countries in the sense that they are "immediate neighbors of Saudi Arabia and have usually followed similar policies."⁴

In early 2008, the UAE's share of OPEC production was only 8%, yet it contributed 11% of the production cut (Figure 4). The UAE's "sacrifice" as a percentage of its own production was comparable to Saudi Arabia's (Figure 5), while non-Core countries generally made lesser sacrifices. By 2026, the UAE's share of OPEC production had risen to 12% just before the US-Iran war. While the UAE has typically produced above its quota, it has not been a remarkable standout in this regard (Figure 6), with Saudi Arabia and Kuwait also being similar or larger over-producers in recent years (2024-2025).

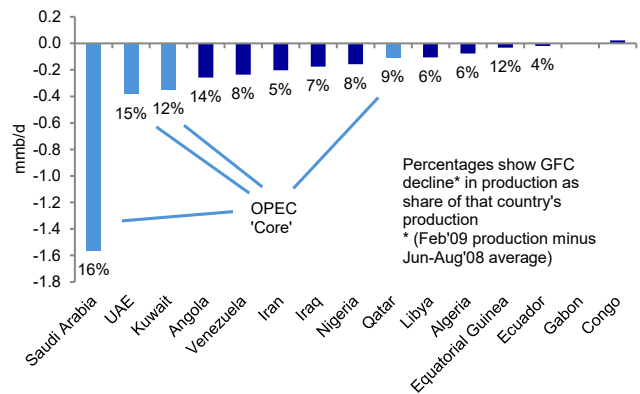
This implies that to achieve the same impact in addressing demand shortfalls, other countries would need to sacrifice slightly larger shares of production and revenue. In 2020, the lower compliance demonstrated by OPEC+ coalition partners under the Declaration of Cooperation (shown as 'non-OPEC' in Figure 7), suggests there is more room for improvement here than within OPEC proper. The nine OPEC+ coalition partners produced 13.4 mmb/d in January 2026, compared to 24.6 mmb/d from the OPEC-9 countries subject to a quota, and 30.1 mmb/d from all twelve OPEC countries including Libya, Venezuela and Iran.

Figure 4: UAE share of 2008-09 OPEC cut was second-largest



Source : IEA data from Monthly Oil Data Service © OECD/IEA 2026, www.iea.org/statistics, Licence: www.iea.org/t&c; as modified by Deutsche Bank

Figure 5: UAE 'sacrificed' nearly as high a share of its production as Saudi Arabia in 2008-09 (mmb/d)



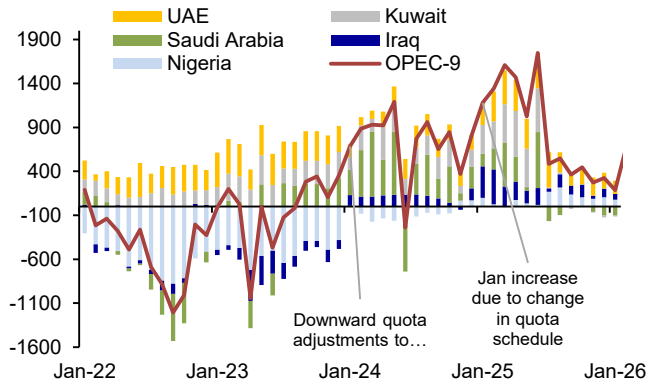
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4 Gately, Dermot. "Lessons from the 1986 Oil Price Collapse", Brookings Papers on Economic Activity, June 1986, https://www.brookings.edu/wp-content/uploads/1986/06/1986b_bpea_gately_adelman_griffin.pdf.

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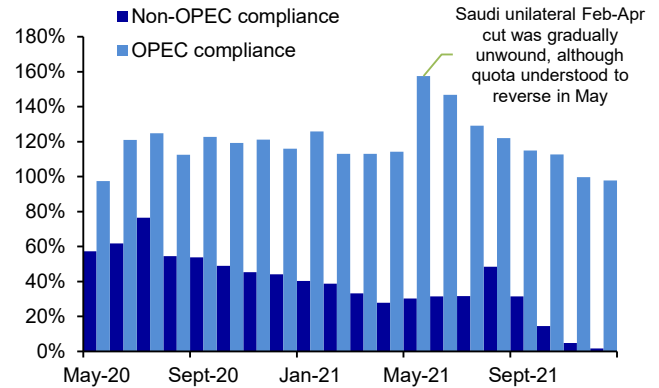


Figure 6: Notable OPEC-9 countries with production above or below quota (kb/d)



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Figure 7: OPEC+ coalition partners' compliance was lower than OPEC-9 countries in 2020-21



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Second-highest spare capacity in OPEC-9

Regarding the capacity to raise production, the UAE is also relatively important, though not nearly as crucial as Saudi Arabia. Its average spare production capacity since 2020 has been 0.8 mmb/d, compared to 2.5 mmb/d for Saudi Arabia. If ADNOC's May 2024 estimate of sustainable capacity is used, the UAE's average spare capacity would rise to 1 mmb/d, as the IEA's estimate of sustainable capacity remained at 4.3 mmb/d in 2025. Consequently, after the UAE's departure, OPEC and the OPEC+ coalition will have less flexibility in mitigating market deficits.

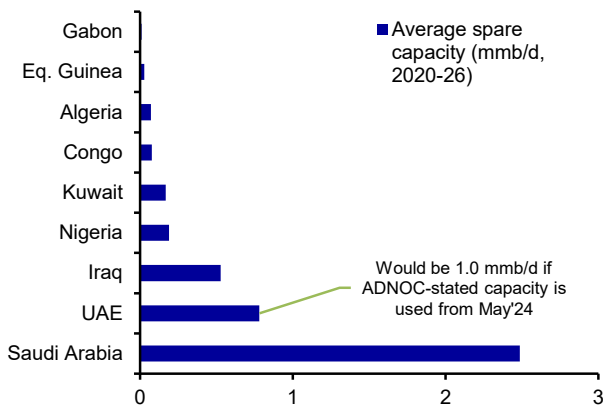
This point can also be illustrated by comparing the UAE to other countries that have recently departed from OPEC (Figure 9), showing that the UAE has a greater capacity to create oversupply. However, as the Minister of Energy and Infrastructure rightly points out, "the timing now is perfect" because "the impact is going to be minimal on all of the producers", and from the consumer's point of view, "the world will need much, much more production of energy."⁵

5 "Opec exit 'purely a policy move', UAE energy minister says", The National News, 29 Apr 2026, <https://www.thenationalnews.com/business/energy/2026/04/28/opec-exit-purely-a-policy-move-uae-energy-minister-says/>.

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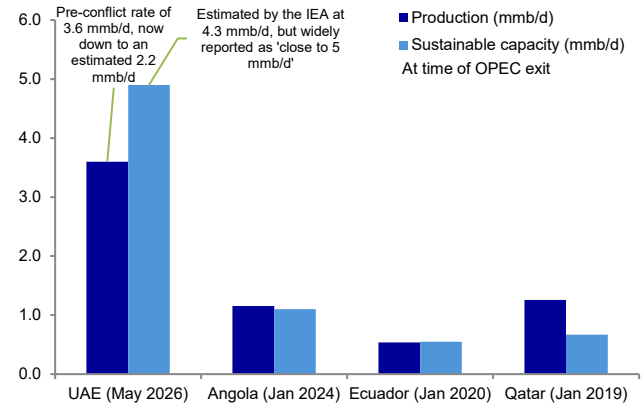


Figure 8: UAE possessed second-largest spare capacity out of OPEC-9 countries subject to a quota



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Figure 9: UAE has more potential to raise production than other countries at time of exit



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UAE will continue to act responsibly

Beyond these important facts of the UAE's supply flexibility, it is worth noting from the Ministry of Energy and Infrastructure's public statement that:

"Following its exit, the UAE will continue to act responsibly, bringing additional production to market in a gradual and measured manner, aligned with demand and market conditions."⁶

Additionally,

"This decision does not alter the UAE's commitment to global market stability or its approach based on cooperation with producers and consumers. Rather, it enhances the UAE's ability to respond to evolving market needs."

From these statements, we infer that following a Strait of Hormuz re-opening, there may not necessarily be a very rapid increase in UAE production, even considering the extreme supply deficits currently estimated. We could also infer that to demonstrate its commitment to market responsibility, the Ministry of Energy may be especially careful with its production profile after a Strait of Hormuz reopening, since its behaviour will likely be under close scrutiny by the market. Accordingly, we believe it most likely that the UAE will raise its production towards sustainable capacity over a period of a year.

6 "UAE announces decision to exit OPEC & OPEC+", Emirates News Agency, 28 Apr 2026, (<https://www.wam.ae/en/article/bzxzuh7-uae-announces-decision-exit-opec-opec>).



Appendix 1

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